

## 25CHCV00107 25CHCV00107

County: los-angeles

Division: Civil Law and Motion

Department: F49

Hearing date: 2026-09-15

Source URL: [https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept\\_date=CHA%2CF49%2C09%2F15%2F2026](https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF49%2C09%2F15%2F2026)

Source SHA-256: 54ca9f876b8316b7147d0ae31bd0cf2d9ee7a9c83ffb610e312b4a75b8ed7395

Case Number: 25CHCV00107 Hearing Date: September 15, 2026 Dept: F49

Dept. F49

Date: 9/15/26

Case Name: Chad Walters vs. ABC Plastics, Inc.; ABC  
Plastic Fabrication, Inc.; Joseph Walters; and Does 1-50

Case No. 25CHCV00107

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F49

SEPTEMBER 15, 2026

MOTION TO STAY  
PROCEEDINGS

Los Angeles Superior  
Court Case No. 25CHCV01007

Motion filed: 4/8/25

MOVING PARTY: Defendants ABC Plastics, Inc. and ABC  
Plastic Fabrication, Inc.

RESPONDING PARTY: Plaintiff Chad Walters

NOTICE: Proper

RELIEF REQUESTED: An order from this Court: (1) staying litigation; (2) appointing appraisers to determine the value of Plaintiff Chad Walters' shares in Defendant corporations ABC Plastics, Inc. and ABC Plastic Fabrication, Inc.; (3) providing a procedure for the appraiser's collection of evidence and a timeline for the appraisal; and (4) providing that the Court will further enter an order permitting Defendants a period to tender payment to Plaintiff in lieu of dissolution of the corporations.

TENTATIVE RULING: The motion is GRANTED.

#### BACKGROUND

This action arises out of management disagreements between the two equal shareholders of close corporations ABC Plastics, Inc. ("ABCPI") and ABC Plastics Fabrication, Inc. ("Fabrication") (collectively, the "Corporations"). On January 13, 2025, Plaintiff Chad Walters ("Plaintiff") filed a Complaint against the Corporations and Defendant Joseph Walters ("Joseph") (collectively, "Defendants"), and Does 1 through 50, alleging the following four causes of action: (1) Involuntary Dissolution of ABCPI, (2) Involuntary Dissolution of Fabrication, (3) Specific Performance, and (4) Breach of Fiduciary Duty.

On February 13, 2025, Joseph filed an Answer. Subsequently, on March 14, 2025, the Corporations jointly filed their Answer to the Complaint.

On July 17, 2025, the Corporations filed the instant Motion to Stay Proceedings (the "Motion").

On December 16, 2025, Plaintiff's counsel filed and served a Declaration Regarding Plaintiff's Non-Opposition to the Motion.

No opposition or reply papers have been filed.

## ANALYSIS

### A. Applicable

#### Law

#### The

Corporations bring this Motion under California Corporations Code section 2000 to elect buyout of Plaintiff's shares in each of the Corporations. (Mot., at p. 1.) Corporations Code section 2000 governs the buyout of ABCPI, a California corporation. (Compl., ¶ 2.) However, Fabrication is an entity incorporated in the state of Florida, (Compl., ¶ 3), and neither the Corporations nor Plaintiff have offered authority for the Court's application of California law to claims against Fabrication.

#### Courts

have held that the internal affairs doctrine requires California courts "to apply to a dissolution claim the law of the state under which the entity was organized." (*Boschetti v. Pacific Bay Investments Inc.* (2019) 32 Cal.App.5th 1059, 1066.) The doctrine applies to any matters relevant to internal corporate governance. (*Lidow v. Superior Court* (2012) 206 Cal.App.4th 351, 362.) Because compulsory buyout is a right dependent on an action for judicial dissolution, buyout necessarily involves issues of internal governance. (*Boschetti*, at p. 1066.) As Fabrication is a Florida corporation, Florida law thus applies to the Corporations' buyout election of Plaintiff's shares.

### B. ABCPI

#### When

a 50 percent shareholder in a corporation files suit for involuntary dissolution, the corporation may avoid dissolution by "purchasing for cash the shares owned by the plaintiff[]." (Corp. Code, § 2000, subd. (a).) The Court must stay the winding up and dissolution proceeding and "proceed to ascertain and fix the fair value of the shares owned" by the party initiating the action if certain conditions are met. (*Id.*, § 2000, subd. (b).) Those conditions are: (1) the corporation elects to purchase the shares owned by party seeking dissolution; (2) the parties are unable to agree upon the fair value of the shares owned by the party seeking dissolution; and (3) the corporation gives bond sufficient to pay the estimated reasonable expenses of the party seeking dissolution if the corporation does not timely make payment

for the shares. (Id., § 2000, subds. (b), (c).)

“The

court shall appoint three disinterested appraisers to appraise the fair value of the shares ... , and shall make an order referring the matter to the appraisers so appointed for the purpose of ascertaining the value.” (Corp. Code, § 2000, subd. (c).) “The order shall prescribe the time and manner of producing evidence, if evidence is required.” An award determined by a majority of the appraisers is final and conclusive upon all parties. (Ibid.) The Court must enter a decree providing for the winding up and dissolution of the corporation unless the purchasing parties pay for the shares within the time prescribed by the decree. (Ibid.)

(1)

Stay of Proceedings Pending Appraisal

A stay of proceedings is required when the corporation moves to stay litigation for the purpose of appraising the shares of a 50 percent shareholder who has filed for involuntary dissolution. (Corp. Code, § 2000, subds. (a), (b).)

The Corporations have met the requirements of Corporations Code section 2000. As the Corporations note in their Motion, Plaintiff alleges a 50 percent interest in ABCPI, with Joseph owning the remaining interest. (Compl., ¶ 2; Mot., at p. 5.) The Complaint seeks judicial dissolution of ABCPI due to internal dissention and alleged mismanagement. (Compl., ¶ 14.) Further, the Corporations and Plaintiff have been unable to determine the fair value of Plaintiff’s shares and agree that appraisal is appropriate. (Nowland Decl., ¶¶ 4-6; Lerner Decl., ¶¶ 9, 11.)

The Corporations also indicate that they are prepared to post bond pending the outcome of the appraisal. (Mot., at p. 3.)

Based on the foregoing, the Court finds that staying the dissolution proceeding of ABCPI is mandatory.

(2)

Bond Amount and Appraisers

The Corporations propose a bond amount of \$15,000. (Mot., at p. 3.) Although this amount is the estimated cost of the appraisals and not of Plaintiff's estimated reasonable expenses, including attorneys' fees, as required by the Corporations Code, Plaintiff's counsel does not object to this amount in his declaration and does not offer either a different sum that would be more appropriate or any facts upon which the Court may make an estimate of reasonable expenses. (Lerner Decl., ¶ 13) The Court thus accepts \$15,000 as a reasonable bond amount.

The Corporations also propose appointment of the following individuals as appraisers: Business Broker Steve Barnett ("Barnett"), Certified Valuation Analyst David Hahn ("Hahn"), and Certified Valuation Analyst Brandon Hall ("Hall"). (Stone Decl., ¶ 4.) Plaintiff's counsel indicates that Plaintiff is amenable to the appointment of Barnett and Hahn but is silent as to Hall. (Lerner Decl., ¶ 12.) Given that the parties agree that Barnett and Hahn serve as appraisers, the Court finds appointment of Barnett and Hahn appropriate. The third appraiser shall be selected jointly by Barnett and Hahn.

C.

Fabrication

Under Florida law, in a voluntary dissolution proceeding, the corporation may elect to purchase all shares owned by the shareholder who initiates the proceeding. (Fla. Stats., § 607.1436, subd. (1).) An election to purchase may be filed with the Court at any time within 90 days after the plaintiff has filed for dissolution or at a later time allowed by the Court in its discretion. (Id., subd. (2).)

If the parties cannot agree to the fair value of shares and terms for purchase within 60 days after the election is filed, the Court may stay the dissolution proceeding to determine the fair value of the shares owned by the plaintiff. (Id., subd. (4).) After determining the fair value of shares, the Court must enter "an order directing the purchase upon such terms and conditions as the court deems appropriate." (Id., subd. (5).) In determining fair value, the Court has discretion to select the valuation method so long as it relies on competent evidence. (G&G Fashion Design, Inc. v. Garcia (Fla.Dist.Ct.App. 2004) 870 So.2d 870, 872-873.)

Motion

to Stay to Exercise Buyout Right

The Court finds that, under Florida law, Fabrication has made an election pursuant to Florida Statutes section 607.1436. The Motion, which asserts the statutory buyout right of Fabrication, was made on July 17, 2025. Although this was more than 90 days after Plaintiff filed for dissolution, the Court may exercise discretion to allow the election. The parties have indicated that they have been unable to agree to the fair value of Plaintiff's shares, and more than 60 days have elapsed since the Motion was filed. (Nowland Decl., ¶ 6.) Further, the parties agree that appraisal is appropriate to facilitate the purchase of Plaintiff's shares. (Lerner Decl., ¶¶ 9, 11.)

The Court finds, under these circumstances, that it may stay the dissolution proceeding as to Fabrication and that appointment of appraisers to determine the value of the shares of both Corporations is proper. The appraisers appointed to determine the value of Plaintiff's shares in ABCPI are also directed to determine the fair value of Plaintiff's shares in Fabrication.

D.

Derivative

Claims

Appraisal of Plaintiff's shares

necessarily involves appraisal of derivative claims, which are a property right belonging to the corporation (Cotton v. Expo Power Systems, Inc. (2009) 170 Cal.App.4th 1371, 1380; accord Nelson v. Miller (Fla.Dist.Ct.App. 1968) 212 So.2d 66, 67.) Plaintiff has asserted claims for inspection rights as to both Corporations and breach of fiduciary duty against Joseph in his capacity as managing shareholder of each of the Corporations. (Compl., ¶¶ 34-51.) The Corporations request stay of these claims as well as the dissolution claims. Plaintiff does not oppose this request.

Based on the foregoing, the Court GRANTS the Corporations' Motion to stay all proceedings pending appraisal of Plaintiff's interest in the Corporations.

CONCLUSION

The Court GRANTS the Motion to Stay. All proceedings are stayed pending appraisal of Plaintiff Chad Walters' shares in Defendants ABC Plastics, Inc. and ABC Plastic Fabrication, Inc.

The Court orders Defendants ABC Plastics, Inc. and ABC Plastic Fabrication, Inc. to deposit a bond in the amount of \$15,000 with the Clerk of the Court within 10 days of this order.

The Court appoints the following appraisers: Business Broker Steve Barnett and Certified Valuation Analyst David Hahn. Barnett and Hahn are to select the third appraiser.

The Court sets a hearing for \_\_\_\_\_ in Department F49 to determine the fair value of Plaintiff Chad Walters' shares. The Court orders the appraisers to file a report determining the fair value of Plaintiff's shares in each of the Defendant corporations no later than nine days before the date of the hearing.

Moving party to give notice.